Mindteck Middle East Limited SPC

Audited Financial Statements
For the Year Ended 31 March 2020

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| | |
|---|---|
| Commercial registration number | 49063 |
| Board of directors | Pradeep Kizhakkethil<br>Shankattu Shivarama Adiga |
| Registered office | PO Box 10795<br>Office 44, Building 81<br>Road 1702, Block 317<br>Manama, Kingdom of Bahrain |
| Bank | Citibank, Bahrain |
| Auditor | RSM Bahrain<br>PO Box 11816, Manama<br>Kingdom of Bahrain |

Mindteck Middle East
Office # 44, 3rd Floor, Suhail Center
Building 81, Road 1702, Block 317
Diplomatic Area, PO Box 10795
Manama - Kingdom of Bahrain
Tel: 973 1753 4469
Fax: 973 1753 6332
www.mindteck.com

# Board of directors' report for the year ended 31 March 2020

The Board of Directors present its report and audited financial statements of Mindteck Middle East Limited SPC (the 'Company') for the year ended 31 March 2020.

## Board of directors

The members of the Board of Directors are as follows:

| | Designation |
|---|---|
| Pradeep Kizhakkethil | Director |
| Shankattu Shivarama Adiga | Director |

## Principal activities

The principle activities of the Company are to provide:

(i) Computer programming activities; and
(ii) Computer Consultancy and computer facilities management activities.

## Review of current position, future developments and significant risks

The Company's development to date, financial performance and position as presented in the financial statements are considered not satisfactory since it's making continuous losses. However, the parent (Mindteck India limited) has shown commitment to inject funds as and when needed. Hence, these financial statements are prepared on the basis that the Company is a going concern.

The most significant risks faced by the Company and steps taken to manage these risks are described in note 23 of the financial statements.

## Financial performance

The Company's financial performances for the year are set out on page 8.

## Independent auditor

The independent auditor, RSM Bahrain, has expressed its willingness to be in office and a resolution giving authority to the Board of directors to fix their remuneration will be proposed at the annual general meeting.

## Acknowledgement

We express our sincere thanks and appreciation to all of you for your sustained co-operation and support during the year. We would also like to express our gratitude to the management and staff for their continued hard work, dedication and loyalty during the year.

Signed on behalf of the board of directors:

K. Pradeep
------------------------------
Pradeep Kizhakkethil
(Director)

27 May 2020
Manama, Kingdom of Bahrain

CMMIDEV/5[SM]
Exp. 2019-10-01 / Appraisal #27386

RSM Bahrain

PO Box 11816
Diplomatic Area
Bahrain

T +973 17537787
F +973 17537757

www.rsm.bh

## Independent auditor's report

To the Owner of Mindteck Middle East Limited SPC

### Opinion

We have audited the financial statements of Mindteck Middle East Limited SPC (the "Company"), which comprise the statement of financial position as at 31 March 2020, the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2020, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

### Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### Material uncertainty related to going concern

We draw attention to Note 2.3 of the financial statements, which indicates that the Company's total liabilities exceed its total assets by BD 20,403 and has negative operating cash flow as at 31 March 2020. These events and conditions, along with other matters set forth in Note 2.3 ,indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

### Other information

Management is responsible for the other information. The other information comprises the information included in the board of directors' report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

 (Continued from previous page)

**Responsibilities of management and those charged with governance for the financial statements**

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

**Auditor's responsibilities for the audit of the financial statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Independent auditor's report
To the Owner of Mindteck Middle East Limited SPC

(Continued from previous page)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

## Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001 (the "Law"), we report that:

- The Company's accumulated loss as at 31 March 2020 have exceeded the share capital of the Company.
- As per the Articles of Association of the Company, the financial year end is 30 June. However, the Company has been preparing its financial statements as at 31 March each year.
- As per Article 286 of the Law, the Company is required to file its financial statements with the Ministry of industry, Commerce and Tourism within six months of its year end. However, the Company has not met the above requirement for the year ended 31 March 2019.

Except for the matters described above and those stated in the material uncertainty related to going concern paragraph, the Company has maintained proper books of account and the financial statements are in agreement therewith; the financial information included in the board of directors' report is consistent with the books of accounts of the Company; and nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, or of its memorandum of association, which would materially affect its activities, or its financial position as at 31 March 2020.

RSM

Registration no.152
27 May 2020
Manama, Kingdom of Bahrain

Mindteck Middle East Limited SPC

Statement of financial position as at 31 March 2020 (in Bahraini Dinars)

| | Note | 2020 | 2019 |
|---|---|---|---|
| Assets | | | |
| Non-current asset | | | |
| Plant and equipment | 5 | 447 | 121 |
| Right-of-use assets | 6 | 2,869 | - |
| | | 3,316 | 121 |
| Current assets | | | |
| Trade and other receivables | 7 | 148,218 | 100,652 |
| Advances, deposits and prepayments | 8 | 10,113 | 8,118 |
| Bank balances | | 4,090 | 15,180 |
| | | 162,421 | 123,950 |
| Total assets | | 165,737 | 124,071 |
| Equity and liabilities | | | |
| Equity | | | |
| Share capital | 9 | 50,000 | 50,000 |
| Statutory reserve | 10 | 16,931 | 16,093 |
| Accumulated losses | | (87,334) | (94,879) |
| | | (20,403) | (28,786) |
| Non-current liabilities | | | |
| Employee terminal benefits | 11 | 26,424 | 20,933 |
| | | 26,424 | 20,933 |
| Current liabilities | | | |
| Lease liability - current portion | 12 | 1,444 | - |
| Other payables | 13 | 47,233 | 18,538 |
| Due to related parties | 14 | 98,532 | 102,513 |
| Accrued and other liabilities | 15 | 12,507 | 10,873 |
| | | 159,716 | 131,924 |
| Total equity and liabilities | | 165,737 | 124,071 |

These financial statements were approved by the Board of Directors on 27 May 2020 and signed on its behalf by:

Pradeep Kizhakkethil
Director

Shankattu Shivarama Adiga
Director

Notes 1 to 25 on pages 11 to 24 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of profit or loss and other comprehensive income

for the year ended 31 March 2020 (in Bahraini Dinars)

| | Note | 2020 | 2019 |
|---|---|---|---|
| Income | | | |
| Revenue | 16 | 418,334 | 263,601 |
| Direct cost | 17 | (312,330) | (198,845) |
| Gross profit | | 106,004 | 64,756 |
| Other income | 18 | 6,422 | 22,885 |
| | | 112,426 | 87,641 |
| Expenses | | | |
| General and administrative expenses | 19 | 103,685 | 98,017 |
| Finance cost | | 358 | - |
| | | 104,043 | 98,017 |
| Profit/(loss) for the year | | 8,383 | (10,376) |
| Other comprehensive income | | - | - |
| Total comprehensive profit/ (loss) for the year | | 8,383 | (10,376) |

These financial statements were approved by the Board of Directors on 27 May 2020 and signed on its behalf by:

Pradeep Kizhakkethil
Director

Shankattu Shivarama Adiga
Director

Notes 1 to 25 on pages 11 to 24 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of changes in equity for the year ended 31 March 2020 (in Bahraini Dinars)

| | Share capital | Statutory reserve | Accumulated losses | Total |
|---|---|---|---|---|
| As at 31 March 2018 | 50,000 | 16,093 | (81,631) | (15,538) |
| Adjustment for changes in accounting policy | - | - | (2,872) | (2,872) |
| Loss for the year | - | - | (10,376) | (10,376) |
| As at 31 March 2019 | 50,000 | 16,093 | (94,879) | (28,786) |
| Profit for the year | - | - | 8,383 | 8,383 |
| Transfer to statutory reserve | - | 838 | (838) | - |
| As at 31 March 2020 | 50,000 | 16,931 | (87,334) | (20,403) |

| | 2020 | 2019 |
|---|---|---|
| **Cash flows from operating activities:** | | |
| Profit/(loss) for the year | 8,383 | (10,376) |
| **Adjustments for:** | | |
| Depreciation | 98 | 66 |
| Finance cost | 358 | - |
| Provision for employee terminal benefits | 8,523 | - |
| Reversal of provision for employee terminal benefits | - | (7,566) |
| Depreciation on right-of-use assets | 5,737 | - |
| Expected credit losses of trade receivables | (299) | 513 |
| **Changes in operating assets and liabilities** | | |
| Trade and other receivables | (47,267) | 5,795 |
| Advances, deposits and prepayments | (1,995) | 10,033 |
| Other payables | 28,695 | 16,250 |
| Due to related parties | (3,981) | 16,398 |
| Accrued and other liabilities | 1,634 | (12,931) |
| **Cash (used in)/generated from operations** | (114) | 18,182 |
| Employee terminal benefits paid | (3,032) | (16,693) |
| **Net cash (used in)/generated from operating activities** | (3,146) | 1,489 |
| | | |
| **Cash flows from investing activities:** | | |
| Payments for plant and equipment | (424) | - |
| **Net cash used in investing activities** | (424) | - |
| | | |
| **Cash flows from financing activities:** | | |
| Repayment of lease liabilities | (7,520) | - |
| **Net cash used in financing activities** | (7,520) | - |
| | | |
| **Net (decrease)/ increase in cash and cash equivalents** | (11,090) | 1,489 |
| Cash and cash equivalents at the beginning of the year | 15,180 | 13,691 |
| **Cash and cash equivalents at the end of year** | 4,090 | 15,180 |

## 1. Legal status and principal activities

Mindteck Middle East Limited S.P.C (the "Company"), is a single person company registered with the Ministry of Industry, Commerce and Tourism in the Kingdom of Bahrain under commercial registration number 49063-1, dated 27 July 2002.

The principal activities of the company are computer programming activities and computer consultancy and computer facilities management activities.

## 2. Basis of preparation

### 2.1. Statement of Compliance

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (IFRS), being standards and interpretations issued by the International Accounting Standards Board (IASB), in force at 31 December 2019, and the applicable provisions of the Bahrain Commercial Companies Law Decree No (21) of 2001, and amendments thereto.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income is recognised in the statement of comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the profit or loss, as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owner of the Company in their capacity as owner are recognised in the statement of changes in equity.

The Company presents the statement of profit or loss and other comprehensive income using the classification by function of expenses. The statement of financial position format is based on a current and non-current distinction.

### 2.2. Basis of measurement

These financial statements have been prepared under the historical cost convention, unless mentioned otherwise in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data to the extent possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Company (working closely with external qualified valuers) using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorized into different levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value — These measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value — These measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

- Level 3 fair value — These measurements are derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Company at the end of the reporting period during which the change occurred.

The accounting records are maintained in Bahraini Dinars (BD) which is the functional and reporting currency for these financial statements. The financial statements figures are rounded to the nearest dinar, unless otherwise stated.

### 2.3. Going Concern

The Company incurred losses in the prior years as a result the net worth of the Company as at the date of statement of financial position stands negative balance of BD 20,403 . However, the Company has been able to generate profits during the year and the management is of the view that regular monitoring and controlling of cost measures would strengthen the business and net worth of the Company. The partner's Mindteck India limited, shown commitment to inject funds as and when needed. Hence, these financial statements are prepared on the basis that the Company is a going concern and will continue in operation for the foreseeable future and it has no intention or necessity to liquidate.

### 2.4. Application of new and amended accounting standards and interpretations

The Company has adopted all of the new or amended Accounting Standards and Interpretations issued by the International Accounting Standards Board ('IASB') that are mandatory for the current reporting period. Any new or amended Accounting Standards or Interpretations that are not yet mandatory have not been early adopted. The following Accounting Standards and Interpretations are most relevant to the Company:

- IFRS 16 Leases. The standard replaces IAS 17 'Leases' and for lessees eliminates the classifications of operating leases and finance leases. Except for short-term leases and leases of low-value assets, right-of-use assets and corresponding lease liabilities are recognised in the statement of financial position. Straight-line operating lease expense recognition is replaced with a depreciation charge for the right-of-use assets (included in operating costs) and an interest expense on the recognised lease liabilities (included in finance costs). In the earlier periods of the lease, the expenses associated with the lease under IFRS 16 will be higher when compared to lease expenses under IAS 17. However, EBIDA (Earnings Before Interest, Depreciation and Amortisation) results improve as the operating expense is now replaced by interest expense and depreciation in profit or loss. For classification within the statement of cash flows, the interest portion is disclosed in operating activities and the principal portion of the lease payments are separately disclosed in financing activities. For lessor accounting, the standard does not substantially change how a lessor accounts for leases.

IFRS 16 was adopted using the modified retrospective approach and as such the comparatives have not been restated. The impact of adoption on opening retained profits as at 1 April 2019 was as follows:

| | 1 April 2019 |
|---|---|
| Operating lease commitments as at 1 April 2019 (IAS 17) | 9,025 |
| Operating lease commitments discount based on the weighted average incremental borrowing rate of 5.5% (IFRS 16) | (419) |
| Right-of-use assets (IFRS 16) | 8,606 |
| Lease liabilities - current (IFRS 16) | 5,659 |
| Lease liabilities - non-current (IFRS 16) | 2,947 |
| Reduction in opening retained profits as at 1 April 2019 | - |

• Amendments to IFRS 9 Prepayment Features with Negative Compensation. The amendments to IFRS 9 clarify that for the purpose of assessing whether a prepayment feature meets the 'solely payments of principal and interest' (SPPI) condition, the party exercising the option may pay or receive reasonable compensation for the prepayment irrespective of the reason for prepayment. In other words, financial assets with prepayment features with negative compensation do not automatically fail SPPI.

### 2.5. New and amended pronouncements in issue but not yet mandatory or early adopted

The Company has not applied the following new or amended standards and interpretations that have been issued by the IASB but are not yet mandatory for the financial year ended 31 March 2019 (the list does not include information about new or amended requirements that are not relevant to the Company). The company has not yet assessed the impact of these new or amended Accounting Standards and Interpretations.

• Amendments to IFRS 3 (issued in October 2018 to clarify the definition of a business): The amendments, effective for annual reporting periods beginning on or after 1 January 2020, clarify that to be considered a business an acquired set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create outputs. Additional guidance is provided that helps to determine whether a substantive process has been acquired. The amendments introduce an optional concentration test that permits a simplified assessment of whether an acquired set of activities and assets is not a business. Under the optional concentration test, the acquired set of activities and assets is not a business if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar assets.

• Amendments to IAS 1 and IAS 8 (issued in October 2012 to clarify the definition of 'material' and to align the definition used in the Conceptual Framework and the standards themselves): The amendments, effective for annual reporting periods beginning on or after 1 January 2020, clarify that information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

## 3. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

### 3.1. Plant and equipment

On initial recognition, items of plant and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of plant and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated on a straight line basis so as to write off the cost of an asset, less its estimated residual value, over its useful economic life at the following annual rates:

| | |
|---|---|
| Furniture and fittings | 15% - 33% |
| Motor vehicles | 15% |

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal. Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit or loss.

### 3.2. Right-of-use assets

A right-of-use asset is recognised at the commencement date of a lease. The right-of-use asset is measured at cost, which comprises the initial amount of the lease liability, adjusted for, as applicable, any lease payments made at or before the commencement date net of any lease incentives received, any initial direct costs incurred, and, except where included in the cost of inventories, an estimate of costs expected to be incurred for dismantling and removing the underlying asset, and restoring the site or asset.

Right-of-use assets are depreciated on a straight-line basis over the unexpired period of the lease or the estimated useful life of the asset, whichever is the shorter. Where the Company expects to obtain ownership of the leased asset at the end of the lease term, the depreciation is over its estimated useful life. Right-of use assets are subject to impairment or adjusted for any remeasurement of lease liabilities.

The Company has elected not to recognise a right-of-use asset and corresponding lease liability for short-term leases with terms of 12 months or less and leases of low-value assets. Lease payments on these assets are expensed to profit or loss as incurred.

### 3.3. Trade and other receivables

Trade receivables are initially recognised at fair value and subsequently measured at amortised cost using the effective interest method, less any allowance for expected credit losses. Trade receivables are generally due for settlement within 30 to 45 days. The Company has applied the simplified approach to measuring expected credit losses, which uses a lifetime expected loss allowance. To measure the expected credit losses, trade receivables have been grouped based on days overdue. Other receivables are recognised at amortised cost, less any allowance for expected credit losses.

### 3.4. Contract assets

Contract assets are recognised when The Company has transferred goods or services to the customer but where The Company is yet to establish an unconditional right to consideration. Contract assets are treated as financial assets for impairment purposes.

### 3.5. Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise cash at bank. For the purposes of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined.

### 3.6. Equity

Equity instruments are contracts that give a residual interest in the net assets of the Company. Ordinary shares are classified as equity. Equity instruments are recognised at the amount of proceeds received net of costs directly attributable to the transaction.

### 3.7. Employee benefits and entitlements

#### 3.7.1. Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organisation in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of profit or loss in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The Company accrues for its liability in this respect on an annual basis.

### 3.7.2. Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

### 3.8. Tamkeen grants

Grants are recognised when the conditions for receipt are met and there is reasonable assurance that the grant will be received. Grants related to assets are initially taken to deferred income and then released to profit or loss on a systematic and rational basis over the useful lives of the related assets. The majority of grants received by the Company are to assist with the purchase of plant and machinery. Grants related to income are deducted in reporting the related expense. Grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Company with no future related costs are recognised in profit or loss in the period in which they become receivable.

### 3.9. Other payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of the financial year and which are unpaid. Due to their short-term nature they are measured at amortised cost and are not discounted. The amounts are unsecured and are usually paid within 30 days of recognition.

### 3.10. Lease liabilities

A lease liability is recognised at the commencement date of a lease. The lease liability is initially recognised at the present value of the lease payments to be made over the term of the lease, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Lease payments comprise of fixed payments less any lease incentives receivable, variable lease payments that depend on an index or a rate, amounts expected to be paid under residual value guarantees, exercise price of a purchase option when the exercise of the option is reasonably certain to occur, and any anticipated termination penalties. The variable lease payments that do not depend on an index or a rate are expensed in the period in which they are incurred.

Lease liabilities are measured at amortised cost using the effective interest method. The carrying amounts are remeasured if there is a change in the following: future lease payments arising from a change in an index or a rate used; residual guarantee; lease term; certainty of a purchase option and termination penalties. When a lease liability is remeasured, an adjustment is made to the corresponding right-of use asset, or to profit or loss if the carrying amount of the right-of-use asset is fully written down.

### 3.11. Value-Added Tax ('VAT')

Revenues, expenses and assets are recognised net of the amount of associated VAT, unless the VAT incurred is not recoverable from the tax authority. In this case it is recognised as part of the cost of the acquisition of the asset or as part of the expense. Receivables and payables are stated inclusive of the amount of VAT receivable or payable. The net amount of VAT recoverable from, or payable to, the tax authority is included in other receivables or other payables in the statement of financial position. Commitments and contingencies are disclosed net of the amount of VAT recoverable from, or payable to, the tax authority.

### 3.12. Related party transactions

Related parties comprise the Owner, directors and such other entities over which the Company or its Owner can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

### 3.13. Revenue recognition

The Company recognises revenue as follows:

#### 3.13.1. Revenue from contracts with customers

Revenue is recognised at an amount that reflects the consideration to which the Company is expected to be entitled in exchange for transferring services to a customer. For each contract with a customer, the Company: identifies the contract with a customer; identifies the performance obligations in the contract; determines the transaction price which takes into account estimates of variable consideration and the time value of money; allocates the transaction price to the separate performance obligations on the basis of the relative stand-alone selling price of each distinct service to be delivered; and recognises revenue when or as each performance obligation is satisfied in a manner that depicts the transfer to the customer of the services promised.

Variable consideration within the transaction price, if any, reflects concessions provided to the customer such as discounts, rebates and refunds, any potential bonuses receivable from the customer and any other contingent events. Such estimates are determined using either the 'expected value' or 'most likely amount' method. The measurement of variable consideration is subject to a constraining principle whereby revenue will only be recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur. The measurement constraint continues until the uncertainty associated with the variable consideration is subsequently resolved. Amounts received that are subject to the constraining principle are initially recognised as deferred revenue in the form of a separate refund liability.

#### 3.13.2. Rendering of services

Revenue from a contract to provide services is recognised over time as the services are rendered based on either a fixed price or an hourly rate.

#### 3.13.3. Interest income

Interest revenue is recognised as interest accrues using the effective interest method. This is a method of calculating the amortised cost of a financial asset and allocating the interest income over the relevant period using the effective interest rate, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the net carrying amount of the financial asset.

#### 3.13.4. Other income

Other income is recognised on an accrual basis or when the Company's right to receive payment is established.

### 3.14. Foreign currency

Foreign currency transactions are translated into Internationaland currency units using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at financial year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

### 3.15. Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position, if the Company has a legally enforceable right to set off the recognised amounts and the Company intends to settle either on a net basis or realise the asset and settle the liability simultaneously.

## 4. Critical accounting judgments, estimates and assumptions

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts in the financial statements. Management continually evaluates its judgements and estimates in relation to assets, liabilities, contingent liabilities, revenue and expenses. Management bases its judgements, estimates and assumptions on historical experience and on other various factors, including expectations of future events, management believes to be reasonable under the circumstances. The resulting accounting judgements and estimates will seldom equal the related actual results. The judgements, estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

### 4.1. Estimation of useful lives of assets

The Company determines the estimated useful lives and related depreciation and amortisation charges for its plant and equipment and finite life intangible assets. The useful lives could change significantly as a result of technical innovations or some other event. The depreciation and amortisation charge will increase where the useful lives are less than previously estimated lives, or technically obsolete or non-strategic assets that have been abandoned or sold will be written off or written down.

### 4.2. Allowance for expected credit losses

The allowance for expected credit losses assessment requires a degree of estimation and judgement. It is based on the lifetime expected credit loss, grouped based on days overdue, and makes assumptions to allocate an overall expected credit loss rate for each group. These assumptions include recent sales experience and historical collection rates.

### 4.3. Lease term

The lease term is a significant component in the measurement of both the right-of-use asset and lease liability. Judgement is exercised in determining whether there is reasonable certainty that an option to extend the lease or purchase the underlying asset will be exercised, or an option to terminate the lease will not be exercised, when ascertaining the periods to be included in the lease term. In determining the lease term, all facts and circumstances that create an economical incentive to exercise an extension option, or not to exercise a termination option, are considered at the lease commencement date. Factors considered may include the importance of the asset to the Company's operations; comparison of terms and conditions to prevailing market rates; incurrence of significant penalties; existence of significant leasehold improvements; and the costs and disruption to replace the asset. The Company reassesses whether it is reasonably certain to exercise an extension option, or not exercise a termination option, if there is a significant event or significant change in circumstances

### 4.4. Incremental borrowing rate

Where the interest rate implicit in a lease cannot be readily determined, an incremental borrowing rate is estimated to discount future lease payments to measure the present value of the lease liability at the lease commencement date. Such a rate is based on what the Company estimates it would have to pay a third party to borrow the funds necessary to obtain an asset of a similar value to the right-of-use asset, with similar terms, security and economic environment.

### 4.5. Provisions

Provisions are recognised when the Company has a present (legal or constructive) obligation as a result of a past event, it is probable the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation. If the time value of money is material, provisions are discounted using a current pre-tax rate specific to the liability. The increase in the provision resulting from the passage of time is recognised as a finance cost.

### 4.6. Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

## 5. Plant and equipment

| | Furniture and equipment | Motor vehicles | Total |
|---|---|---|---|
| **Cost:** | | | |
| At 31 March 2019 | 3,477 | 6,000 | 9,477 |
| Additions | 424 | - | 424 |
| At 31 March 2020 | 3,901 | 6,000 | 9,901 |
| **Accumulated depreciation:** | | | |
| At 31 March 2019 | 3,356 | 6,000 | 9,356 |
| Depreciation for the year | 98 | - | 98 |
| At 31 March 2020 | 3,454 | 6,000 | 9,454 |
| **Carrying amount:** | | | |
| At 31 March 2019 | 121 | - | 121 |
| At 31 March 2020 | 447 | - | 447 |

Fully depreciated furniture and fixtures and motor vehicles still in use had a cost of BD 9,157 (2019: BD 9,157)

## 6. Right-of-use assets

| | Note | Office premises |
|---|---|---|
| At 31 March 2019 | | - |
| Impact on adoption of IFRS 16 | 2.4 | 8,606 |
| Depreciation on right-of-use assets | | (5,737) |
| At 31 March 2020 | | 2,869 |

The Company leases office premises for its offices under lease agreements for two year , in some cases, options to extend. The leases have escalation clauses. On renewal, the terms of the leases are renegotiated.

## 7. Trade and other receivables

| | Note | 2020 | 2019 |
|---|---|---|---|
| Trade receivables | | 132,613 | 87,591 |
| Allowance for expected credit losses | 7.1 | (7,938) | (8,237) |
| | | 124,675 | 79,354 |
| Unbilled revenue | | 23,543 | 21,298 |
| | | 148,218 | 100,652 |

### 7.1. Allowance for expected credit losses

| | 2020 | 2019 |
|---|---|---|
| Opening balance | 8,237 | 4,852 |
| Additional provisions recognised | - | 513 |
| Impact of IFRS 9 | - | 2,872 |
| Reversal of unutilized provision | (299) | - |
| | 7,938 | 8,237 |

The ageing of the receivables and allowance for expected credit losses provided for above are as follows:

| | Expected credit loss rate | | Carrying amount | | Allowance for expected credit losses | |
|---|---|---|---|---|---|---|
| | 2020 % | 2019 % | 2020 | 2019 | 2020 | 2019 |
| Not overdue | 3.10% | 4.70% | 65,135 | 31,919 | 2,019 | 1,500 |
| 0 to 3 months overdue | 3.15% | 6.18% | 41,873 | 30,098 | 1,319 | 1,861 |
| 3 to 6 months overdue | 17.10% | 19.07% | 14,159 | 16,043 | 2,422 | 3,059 |
| Over 6 months overdue | 19.03% | 19.07% | 11,446 | 9,531 | 2,178 | 1,817 |
| | | | 132,613 | 87,591 | 7,938 | 8,237 |

### 8. Advances, deposits and prepayments

| | 2020 | 2019 |
|---|---|---|
| Prepayments | 3,077 | 3,920 |
| Advances to employees | 6,336 | 2,598 |
| Tender deposits | 700 | 1,600 |
| | 10,113 | 8,118 |

### 9. Share capital

The share capital of the Company is BD 50,000 (2019: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

### 10. Statutory reserve

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, an amount equal to minimum of 10% of Company's net profit before appropriations is to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside.During the year, an amount of BD 838 has been transferred to such reserve out of current year's net profit before appropriations (2019: Nil).

### 11. Employee terminal benefits

| | 2020 | 2019 |
|---|---|---|
| Opening balance | 20,933 | 45,192 |
| Provision for the year | 8,523 | - |
| Payments during the year | (3,032) | (16,693) |
| Adjustment for the year | - | (7,566) |
| | 26,424 | 20,933 |

### 12. Lease liability - current portion

| | Note | Office premises |
|---|---|---|
| At 31 March 2019 | | - |
| Impact on adoption of IFRS 16 | 2.4 | 8,606 |
| Interest expense | | 358 |
| Lease payments | | (7,520) |
| At 31 March 2020 | | 1,444 |

## 13. Other payables

| | 2020 | 2019 |
|---|---|---|
| Other payables | 40,978 | 18,538 |
| VAT payables | 6,255 | - |
| | 47,233 | 18,538 |

## 14. Due to related parties

| | Relationship | 2020 | 2019 |
|---|---|---|---|
| Mindteck Inc, USA | Sister concern | 70,442 | 70,442 |
| Mindteck India Limited | Parent company | 7,134 | 26,223 |
| Mindteck Inc, UK | Sister concern | 20,956 | 5,848 |
| | | 98,532 | 102,513 |

## 15. Accrued and other liabilities

| | 2020 | 2019 |
|---|---|---|
| Employee benefit payable | 11,637 | 9,528 |
| Accrued expenses | 870 | 1,345 |
| | 12,507 | 10,873 |

## 16. Revenue

| | 2020 | 2019 |
|---|---|---|
| **Revenue from contracts with customers** | | |
| Rendering of services | 418,334 | 263,601 |
| | 418,334 | 263,601 |

### Disaggregation of revenue

| | 2020 | 2019 |
|---|---|---|
| **Geographical regions** | | |
| Bahrain | 397,462 | 239,915 |
| GCC | 20,872 | 23,686 |

| | 2020 | 2019 |
|---|---|---|
| **Timing of revenue recognition** | | |
| Services transferred over time | 418,334 | 263,601 |

## 17. Direct cost

| | 2020 | 2019 |
|---|---|---|
| Salaries, wages and other benefits | 280,630 | 190,672 |
| Social Insurance | 22,014 | 7,639 |
| Other expenses | 9,686 | 534 |
| | 312,330 | 198,845 |

## 18. Other Income

| | Note | 2020 | 2019 |
|---|---|---|---|
| Tamkeen grant | 18.1 | 2,854 | 2,460 |
| Rental income | | 1,890 | - |
| Reversal of excess receivable provision | | 299 | - |
| Reversal of excess provision for leave salary | | - | 11,983 |
| Reversal of excess provision for employee terminal benefits | | - | 7,566 |
| Miscellaneous | | 1,379 | 876 |
| | | 6,422 | 22,885 |

### 18.1. Tamkeen grant

Tamkeen grant is towards salary reimbursement for fresh graduates.

## 19. General and administrative expenses

| | Note | 2020 | 2019 |
|---|---|---|---|
| Employee costs | 19.1 | 86,835 | 82,236 |
| Depreciation on right-of-use assets | 6 | 5,737 | - |
| Bank charges | | 2,683 | 2,471 |
| Travelling and conveyance | | 3,213 | 2,110 |
| Communication | | 1,608 | 1,807 |
| Professional fee | | 1,430 | 1,558 |
| Utilities | | 567 | 523 |
| Exchange loss | | 516 | - |
| Expected credit losses of trade receivables | | - | 513 |
| Repair and maintenance | | 41 | 235 |
| Depreciation | 5 | 98 | 66 |
| Office rent | | - | 6,017 |
| Miscellaneous | | 957 | 481 |
| | | 103,685 | 98,017 |

### 19.1. Employee costs

| | 2020 | 2019 |
|---|---|---|
| Salary and allowances | 43,942 | 46,901 |
| Employee benefits | 24,715 | 9,080 |
| Insurance | 10,450 | 13,879 |
| Visa and immigration fees | 3,774 | 3,058 |
| Employee welfare | 188 | 131 |
| Others | 3,766 | 9,187 |
| | 86,835 | 82,236 |

## 20. Related party transactions

### 20.1. Parent and ultimate controlling party

The Company is fully owned and controlled by Mindteck India Limited which holds 100% of the ordinary share capital of the Company.

### 20.2. Transactions with parent company

| | 2020 | 2019 |
|---|---|---|
| Expenses incurred by parent | 10,030 | 10,550 |
| Settlement made during the year | (28,722) | - |

### 20.3. Other related parties

| | 2020 | 2019 |
|---|---|---|
| Expenses incurred on behalf of the Company | 82,486 | - |
| Settlement made during the year | (68,364) | - |
| Funds received | - | 5,848 |

The above transactions were made on the same terms as equivalent transactions with unrelated parties.

## 21. Contingencies and commitments

### 21.1. Contingencies

#### 21.1.1. Contingent liabilities

Company issued undated cheques to Tazur Insurance Company of BD 2,400 and to Medgulf Takaful of BD 1,000 to obtain performance bonds in the ordinary course of business.

### 21.2. Commitments

| | 2020 | 2019 |
|---|---|---|
| Lease commitments - operating | | |
| Committed at the reporting date but not recognized as liabilities, payable: | | |
| Within one year | - | 6,017 |
| One to five years | - | 3,008 |
| | - | 9,025 |

## 22. Non-cash investing and financing activities

| | 2020 | 2019 |
|---|---|---|
| Additions to the right-of-use assets | 8,606 | - |
| | 8,606 | - |

## 23. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balances, deposits and trade and other receivables. Financial liabilities include other payables, lease liability and due to related parties. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item

The Company has exposure to the following risks from its use of financial instruments:

### 23.1. Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk.

Maximum exposure to credit risk before collateral held or other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

| | Maximum exposure | |
|---|---|---|
| | 2020 | 2019 |
| Bank balances | 4,090 | 15,180 |
| Tender deposits | 700 | 1,600 |
| Trade and other receivables | 148,218 | 100,652 |
| | 153,008 | 117,432 |

### 23.2. Foreign exchange risk

Foreign exchange risk is the risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. At 31 March 2020, if the currency had weakened/strengthened by 5% against Qatari Riyal with all other variables held constant, profit for the year would have been BD 3,652 (2019: BD 3,496) higher/lower.

### 23.3. Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: working capital funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial assets and liabilities at 31 March is as follows:

2020

| | Carrying amount | Less than 6 months | 6 to 12 months | 1 to 5 years |
|---|---|---|---|---|
| **Assets** | | | | |
| Bank balances | 4,090 | 4,090 | - | - |
| Tender deposits | 700 | 700 | - | - |
| Trade and other receivables | 148,218 | 148,218 | - | - |
| | 153,008 | 153,008 | - | - |
| **Liability** | | | | |
| Due to related parties | 98,532 | 98,532 | - | - |
| Lease liability | 1,444 | 1,444 | - | |
| Other payables | 47,233 | 47,233 | - | - |
| | 147,209 | 147,209 | - | - |

2019

| | Carrying amount | Less than 6 months | 6 to 12 months | 1 to 5 years |
|---|---|---|---|---|
| **Assets** | | | | |
| Bank balances | 15,180 | 15,180 | - | - |
| Tender deposits | 1,600 | 1,100 | 500 | - |
| Trade and other receivables | 100,652 | 100,652 | - | - |
| | 117,432 | 116,932 | 500 | - |
| **Liability** | | | | |
| Due to related parties | 102,513 | 102,513 | - | - |
| Other payables | 18,538 | 18,538 | - | - |
| | 121,051 | 121,051 | - | - |

### 23.4. Fair value of financial assets and liabilities

The carrying amounts of trade and other receivables, lease liability ,other payables and due to related parties are assumed to approximate their fair values due to their short-term nature. The fair value of financial liabilities is estimated by discounting the remaining contractual maturities at the current market interest rate that is available for similar financial liabilities.

### 23.5. Capital risk management

The Company manages the capital structure in the context of economic conditions and the risk characteristics of the underlying assets. The Company's objective when managing capital is to safeguard the Company's ability to continue as a going concern and to maintain a capital base to support the sustained development of its businesses and maximize the owner's wealth.

## 24. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison. Such reclassifications do not affect previously reported profit or liquidity.

## 25. Events after the reporting period

No matter or circumstance has arisen since 31 March 2020 that has significantly affected, or may significantly affect the Company's operations, the results of those operations, or the Company's state of affairs in future financial years.